SPONSOR: Rep. Shupe & Sen. Buckson
Reps. Morris, Yearick; Sens. Hocker, Wilson

HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 126

AN ACT TO AMEND TITLE 30 OF THE DELAWARE CODE RELATING TO PERSONAL INCOME TAX.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend § 1106, Title 30 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1106. Modifications.

(b) *Subtractions.* — There shall be subtracted from federal adjusted gross income:

(13) For taxable years beginning January 1, 2026, and ending before January 1, 2028, amounts received by a full-time hourly wage-paid employee as compensation for work performed in excess of 40 hours in a week.

a. Each employer making payment of any wages or remuneration taxable under this chapter to a resident or nonresident individual whose wage or remuneration is subject to withholding under the Internal Revenue Code shall submit to the Division of Revenue ("Division"), on forms prescribed by the Division, all of the following:

1. For the tax year beginning January 1, 2025, the total amount received by full-time hourly wage-paid employees as compensation for work performed in excess of 40 hours in a week and the total number of employees for which it was paid. This data is due not later than January 31, 2026.

2. For taxable years beginning January 1, 2026, and ending before January 1, 2028, the total amount received by full-time hourly wage-paid employees as compensation for work performed in excess of 40 hours in a week and the total number of employees for which it was paid. This data is due at the same time as the employer's withholding return under § 1154 of this title.

b. The Division shall report the data collected and compiled under paragraph (b)(13)a. of this section to all of the following not later than 30 days after the date the data is due to the Division:

1. The Controller General.

2. The Director of the Office of Management and Budget.

3. The Secretary of the Department of Finance.

4. The Director and the Librarian of the Division of Legislative Services.

c. The Division may adopt regulations to administer and enforce this paragraph (b)(13).

<u>SYNOPSIS</u>

This Act exempts from State income tax any income received by a full-time hourly wage-paid employee for overtime work performed in excess of 40 hours in a week. This exemption applies for taxable years beginning on January 1, 2026, and ending before January 1, 2028.

This Act also requires each employer to provide information to the Division of Revenue about the total amount of overtime provided to full-time hourly wage-paid employees and the number of employees to whom overtime was paid in taxable years beginning January 1, 2025.